LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is performance guarantees under non fund based facility

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Executive Summary & Course Orientation

Performance Bank Guarantees (PBGs) under Non-Fund Based (NFB) Credit Facilities represent the bedrock of commercial contracting, public infrastructure procurement, and industrial engineering in India. A Performance Bank Guarantee is an irrevocable, legally binding undertaking issued by a licensed commercial bank or financial institution on behalf of a contractor or supplier (the Applicant), promising to pay a specified sum of money to an employer, buyer, or project authority (the Beneficiary) in the event that the applicant fails to perform their contractual obligations, fulfill technical specifications, or meet project milestone deadlines.

In Indian corporate finance and banking, PBGs belong to the **Non-Fund Based (NFB) Credit Facility** umbrella. Unlike fund-based loans (such as Rupee Term Loans or Cash Credit lines), an NFB facility does not involve an immediate outlay or disbursement of bank cash at inception. Instead, the lending bank leverages its balance sheet strength and creditworthiness to substitute for direct contractor cash security, issuing a contingent financial obligation.

From a regulatory and risk-weighted capital perspective under the Reserve Bank of India (RBI) Basel III guidelines, Performance Bank Guarantees carry a **50% Credit Conversion Factor (CCF)**, compared to the **100% CCF** applied to Financial Bank Guarantees (FBGs) or fund-based loans. This lower CCF reflects the transaction-contingent nature of performance risks—where the primary trigger for invocation is technical or operational default rather than pure monetary insolvency.

This comprehensive white paper reference textbook provides an exhaustive, institutional-grade masterclass covering the legal taxonomy, underwriting frameworks, security structures, tax shield mechanics, invocation jurisprudence, real-world Indian Rupee case studies, and certification exam standards for Performance Guarantees in India.

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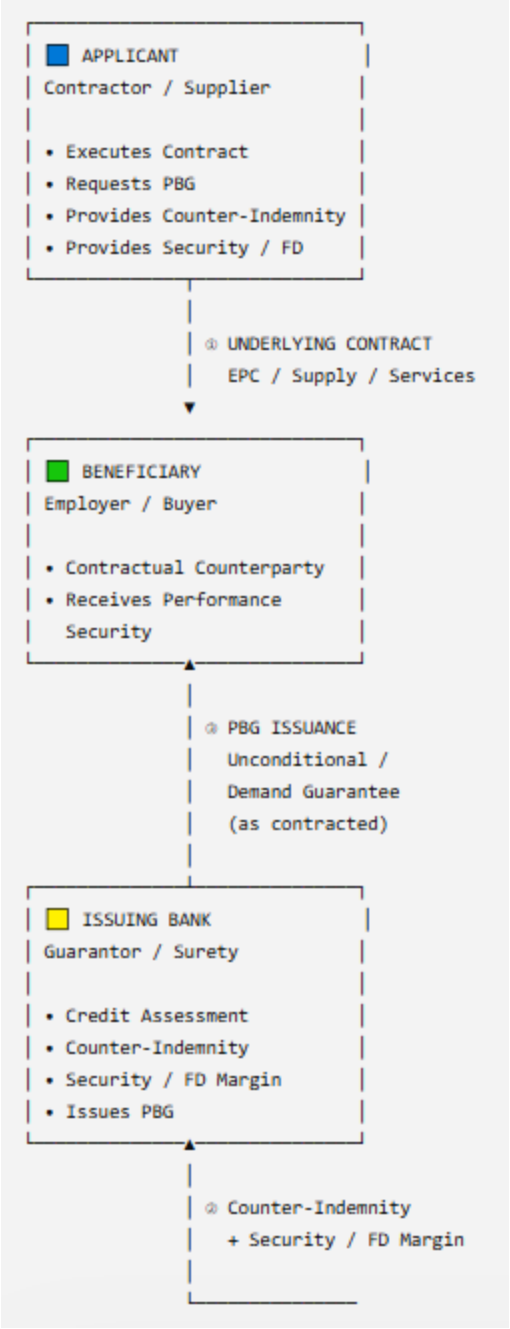
Module 1: Product Overview & Core Fundamentals

1.1 Definition & Legal Architecture under the Indian Contract Act, 1872

A Performance Bank Guarantee is legally defined as a contract of guarantee under **Section 126 of the Indian Contract Act, 1872**. Section 126 defines a “contract of guarantee” as a contract to perform the promise, or discharge the liability, of a third person in case of his default.

The transaction creates a tripartite legal architecture: 1. **The Applicant (Principal Debtor / Contractor)**: The corporate entity or contractor who enters into the underlying commercial contract with the employer and approaches the bank to issue the guarantee. 2. **The Beneficiary (Creditor / Employer / Project Authority)**: The counterparty (e.g., National Highways Authority of India [NHAI], NTPC, SECI, DMRC, or a private corporate employer) to whom the guarantee is addressed and who holds the right to invoke and claim the guaranteed sum. 3. **The Guarantor (Issuing Bank / Financial Institution)**: The Authorised Dealer (AD) Category-I bank or financial institution that issues the guarantee instrument, establishing a primary, independent legal obligation to pay the beneficiary upon demand.

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1.2 Fund-Based vs. Non-Fund Based Credit Architecture

Understanding the distinction between Fund-Based and Non-Fund Based facilities is vital for credit underwriters and corporate CFOs:

- **Fund-Based Facilities (FBF)**: Involve an immediate outlay of bank funds at the time of drawdown. Examples include Rupee Term Loans (RTL), Working Capital Demand Loans (WCDL), Cash Credit (CC), and Overdraft (OD) facilities. The bank earns interest income

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(MCLR / EBLR + Spread) on the outstanding balance, and the borrower records an immediate financial liability on its balance sheet.

- **Non-Fund Based Facilities (NFBF)**: Involve no immediate disbursement of cash by the bank. Examples include Letters of Credit (LC) and Bank Guarantees (BG). The bank earns non-interest commission income (Guarantee Commission) for extending its creditworthiness. The obligation remains a **Contingent Liability** off the borrower's balance sheet under **Ind AS 37**, converting into a direct fund-based demand loan only upon a valid beneficiary invocation.

1.3 Financial vs. Performance Bank Guarantees: Regulatory CCF Distinctions

The Reserve Bank of India (RBI), in alignment with Basel III capital adequacy guidelines, classifies Bank Guarantees into two distinct operational categories:

1. **Financial Bank Guarantees (FBGs)**: Back direct monetary payment obligations—such as security deposits in lieu of cash, customs duty guarantees, disputed tax demand stays, or loan repayment backup guarantees. Because the risk is purely financial, RBI assigns a **100% Credit Conversion Factor (CCF)** to FBGs.
2. **Performance Bank Guarantees (PBGs)**: Back the performance of non-financial contractual obligations—such as timely project execution, adherence to technical specifications, achieving commercial operation dates (COD), or fulfilling defect liability obligations. Because invocation depends on operational default rather than monetary default, RBI assigns a **50% Credit Conversion Factor (CCF)** to PBGs.

Capital Adequacy / Risk-Weighted Asset (RWA) Sizing Impact

For a commercial bank, the CCF directly determines the Risk-Weighted Assets (RWA) and the regulatory capital required to back the credit facility:

$$extRWA = extGuaranteeAmountimesextCCFimesextBorrowerRiskWeight$$

- **Example Calculation**: For a **₹100.00 Crore** guarantee issued on behalf of a CRISIL A-rated corporate borrower (100% Risk Weight):
  - **Financial Guarantee (100% CCF)**: $ ext{RWA} = ₹100 ext{ Cr} imes 100% imes 100% = $.
  - **Performance Guarantee (50% CCF)**: $ ext{RWA} = ₹100 ext{ Cr} imes 50% imes 100% = $.

This 50% CCF reduction halves the bank's regulatory capital allocation under Basel III, allowing banks to price PBG commissions significantly lower than FBG commissions.

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Module 2: Structural Mechanics & How PBGs Work Across the Project Lifecycle

2.1 The 7-Stage PBG Lifecycle

The operational journey of a Performance Bank Guarantee spans seven distinct stages across the contract lifecycle:



1. **Stage 1: Tender / Bid Submission**: The contractor submits a **Bid Bond / Tender Guarantee** (1%–5% of estimated project value) along with its tender response to prevent frivolous bidding.
2. **Stage 2: Contract Award & PBG Issuance**: Upon winning the tender, the employer issues a Letter of Award (LOA). The contractor must submit a **Performance Bank Guarantee** (typically 5%–10% of total contract value) within 15–30 days as a Condition Precedent (CP) to signing the formal EPC agreement.
3. **Stage 3: Commercial Execution & Progress Tracking**: The contractor executes civil, mechanical, and electrical works. The PBG remains active in the bank's records, backed by counter-indemnities and cash/collateral security.
4. **Stage 4: Commercial Operation Date (COD) & Performance Testing**: Upon completion, the project undergoes Trial Run and Performance Guarantee (PG) tests (e.g., heat rate in thermal plants, PR ratios in solar plants, highway smoothness index).

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5. **Stage 5: Defect Liability Period (DLP)**: Post-COD, the PBG may be reduced in value or replaced by a **Defect Liability Guarantee (DLG)** (2%–5% of contract value) covering latent defects for 12 to 24 months.
6. **Stage 6: Formal Contract Discharge & Claim Expiry**: Once the DLP expires without defect claims, the beneficiary issues a formal Completion & Discharge Certificate.
7. **Stage 7: PBG Cancellation & Charge Satisfaction**: The original PBG document is returned to the issuing bank for cancellation. The bank files **ROC Form CHG-4** with the Registrar of Companies to satisfy the statutory charge and releases the pledged Fixed Deposit (FD) margin.

2.2 Unconditional vs. Conditional PBG Structures

The legal enforceability of a PBG depends heavily on whether it is drafted as an **Unconditional On-Demand Guarantee** or a **Conditional Guarantee**:

- **Unconditional On-Demand PBG (Standard Market Format)**: Contains standard boilerplate wording stating that the issuing bank promises to pay the beneficiary immediately upon first written demand, without cavil, demur, or contestation, and without requiring the beneficiary to prove or show grounds or reasons for the demand. The bank's liability is primary and independent of any underlying dispute between contractor and employer.
- **Conditional PBG (Rare / Non-Standard)**: Requires the beneficiary to furnish documentary proof of contractor default—such as an independent arbitrator's award, a court order, or an LIE certificate confirming technical non-performance—before the bank is obligated to disburse funds. Indian commercial banks strongly resist issuing conditional PBGs due to the administrative burden of verifying default claims.

2.3 The Supreme Court Injunction Threshold for PBG Invocations

In Indian jurisprudence, Bank Guarantees occupy a sacred position in commercial trade. The Supreme Court of India has repeatedly affirmed that an unconditional Bank Guarantee is an independent contract, and courts must not lightly grant interim injunctions restraining banks from honoring guarantee claims.

In landmark rulings—including *Svenska Handelsbanken v. Indian Charge Chrome (1994)*, *U.P. State Sugar Corporation v. Sumac International Ltd. (1997)*, and *Himadri Chemicals Industries Ltd. v. Coal Tar Refining Co. (2007)*—the Supreme Court established that Indian courts can grant an injunction against PBG invocation **ONLY under two exceptional circumstances**:

1. **Egregious Fraud**: Fraud of an egregious nature going to the very root of the execution of the contract or bank guarantee, of which the issuing bank has clear knowledge, and where the beneficiary seeks to take fraudulent advantage of the instrument.

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2. **Irretrievable Injustice / Special Equities**: Exceptional circumstances where enforcing the guarantee would result in irretrievable harm or injustice of an irreversible nature—such as where the beneficiary is located in a war-torn country or undergoing liquidation, making recovery of wrongfully invoked funds impossible.

Unless a contractor proves one of these two ultra-high thresholds with irrefutable evidence, Indian courts will refuse to stay a PBG invocation, leaving the contractor to seek post-invocation remedy through arbitration or civil litigation.

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Module 3: Comparative Capital Architecture Matrix

To understand the positioning of Performance Bank Guarantees (PBGs) within corporate trade finance, underwriters and corporate treasurers evaluate PBGs against alternative non-fund and fund-based structures.

Parameter	Performance Bank Guarantee (PBG)	Financial Bank Guarantee (FBG)	IRDAI Insurance Surety Bond (Performance)	Standby Letter of Credit (SBLC - ISP98)	Cash Security Deposit Retention	Fund-Based Term Loan / Cash Credit
Primary Purpose	Guarantees non-financial performance, milestone timelines & specifications	Guarantees direct monetary payments, tax demands, or financial deposits	Guarantees project performance & milestone compliance	International credit enhancement & default backup	Direct cash security retained from progress bills	Direct cash financing for capex or working capital
Fund vs. Non-Fund Nature	Non-Fund Based (NFB) Contingent Liability	Non-Fund Based (NFB) Contingent Liability	Non-Fund Based (Insurance Undertaking)	Non-Fund Based (NFB) Credit Instrument	Fund-Based (Direct Cash Withholding)	Fund-Based (Direct Cash Disbursement)
Credit Conversion Factor (CCF)	**50% CCF** (Under RBI Basel III guidelines)	**100% CCF** (Under RBI Basel III guidelines)	Not Applicable (Insurance solvency rules)	**100% CCF** (Financial SBLC)	Not Applicable (Direct cash lockup)	**100% CCF** (Direct funded exposure)

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Parameter	Performance Bank Guarantee (PBG)	Financial Bank Guarantee (FBG)	IRDAI Insurance Surety Bond (Performance)	Standby Letter of Credit (SBLC - ISP98)	Cash Security Deposit Retention	Fund-Based Term Loan / Cash Credit
Cash Margin FD %	10% to 20% Fixed Deposit Cash Margin	15% to 25% Fixed Deposit Cash Margin	0% to 10% Cash Collateral Margin	15% to 25% Fixed Deposit Cash Margin	**100% Cash Retained** from progress invoices	Not Applicable (15%–25% borrower equity margin)
Annual Fee / Pricing	**0.50% to 1.75% p.a.** on guarantee value	**1.25% to 2.50% p.a.** on guarantee value	**1.00% to 3.00% p.a.** premium	**1.00% to 2.25% p.a.** on SBLC value	**Zero Explicit Fee** (High 12%–14% Opportunity Cost)	**8.50% to 12.50% p.a.** interest rate
Primary Collateral Security	Hypothecated unbilled WIP, receivables & 2nd mortgage	Pledged FD receipts & 1st/2nd real estate mortgage	Corporate counter-indemnity & promoter guarantees	Pledged FD receipts & corporate guarantees	Retention cash held directly by employer	1st exclusive charge on land, plant, machinery & stocks

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Parameter	Performance Bank Guarantee (PBG)	Financial Bank Guarantee (FBG)	IRDAI Insurance Surety Bond (Performance)	Standby Letter of Credit (SBLC - ISP98)	Cash Security Deposit Retention	Fund-Based Term Loan / Cash Credit
Invocation Trigger	Written demand alleging project non-performance / delay	Written demand alleging payment non-fulfilment / tax default	Verified claim proof of contractor default	First written demand alleging payment default	Employer's unilateral cash deduction from bills	Default in EMI/interest payment beyond 90 days (NPA)
Balance Sheet Treatment	Off-Balance Sheet (Contingent Liability Footnote)	Off-Balance Sheet (Contingent Liability Footnote)	Off-Balance Sheet (Insurance Obligation)	Off-Balance Sheet (Contingent Liability Footnote)	On-Balance Sheet (Restricted Cash / Asset Reduction)	On-Balance Sheet (Direct Funded Senior Debt)
Governing Statute / Rules	Section 126 Indian Contract Act 1872 / RBI Master Directions	Section 126 Indian Contract Act 1872 / RBI Master Directions	IRDAI Surety Insurance Guidelines 2022	ISP98 / UCP 600 / ICC Rules	Indian Contract Act 1872 / Civil Procedure Code	Banking Regulation Act 1949 / RBI Directions

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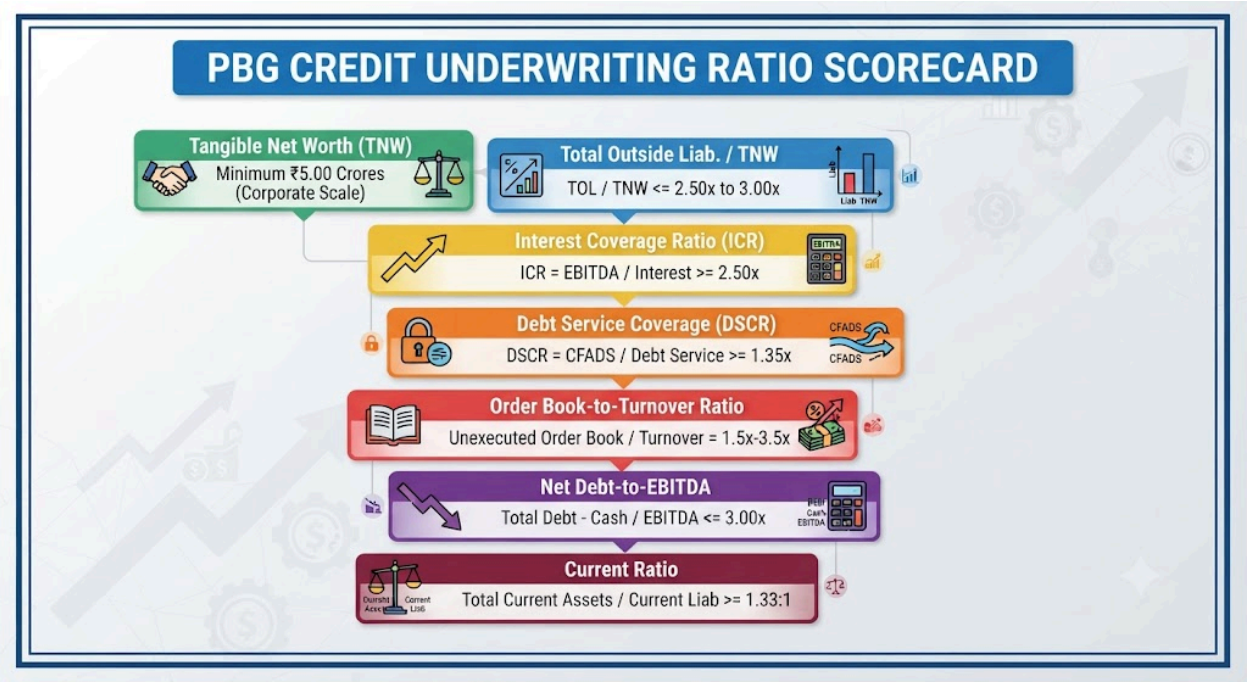
Parameter	Performance Bank Guarantee (PBG)	Financial Bank Guarantee (FBG)	IRDAI Insurance Surety Bond (Performance)	Standby Letter of Credit (SBLC - ISP98)	Cash Security Deposit Retention	Fund-Based Term Loan / Cash Credit
Tax Shield & Cost Efficiency	100% Fee Deductible (Sec 37(1) + 100% GST ITC)	100% Fee Deductible (Sec 37(1) + 100% GST ITC)	100% Premium Deductible under Sec 37(1)	100% Fee Deductible (Sec 37(1) + 100% GST ITC)	Lost Interest Income (No direct tax deduction)	Interest Deductible under Section 36(1)(iii)

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Module 4: Common Eligibility Criteria & Credit Underwriting Framework

4.1 Quantitative Credit Scorecard & Metric Thresholds

When an Authorised Dealer bank appraises an application for a Performance Bank Guarantee facility limit, credit underwriters evaluate the contractor's financial health across key quantitative ratios:



1. **Tangible Net Worth (TNW)**: Minimum **₹5.00 Crores** for mid-sized contractors; **₹50.00+ Crores** for tier-1 infrastructure EPC firms.
2. **Total Outside Liabilities to Tangible Net Worth (TOL / TNW)**: Benchmark threshold of $\leq 2.50:1$ **to** $3.00:1$. High leverage indicates constrained balance sheet capacity to absorb potential guarantee invocation liabilities.
3. **Interest Coverage Ratio (ICR)**: $ ext{ICR} = ext{EBITDA} / ext{Interest Expense} $. Demonstrates strong operating cash flow buffer to service debt and guarantee commissions.
4. **Debt Service Coverage Ratio (DSCR)**: $ ext{DSCR} = ext{CFADS} / ext{Total Debt Service} $. Ensures adequate cash generation during active construction phases.
5. **Order Book-to-Turnover Ratio**: Unexecuted order book divided by annual turnover should range between **1.5x and 3.5x**. An order book below 1.0x indicates revenue depletion risk, while an order book above 4.5x suggests over-extension risk.

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4.2 External Rating Alignment & CIBIL Commercial Benchmarks

Underwriters cross-verify quantitative figures against external credit rating agencies and credit bureau databases:

- **External Credit Rating**: Minimum **CRISIL / ICRA / CARE / INDIA RATINGS BBB-** (Investment Grade) for standard 15% FD margin limits. A-rated or AA-rated corporates command reduced FD margins (10% or zero) and lower commission spreads.
- **CIBIL Commercial Rank (CMR)**: **CMR 1 to CMR 4** on a 1-to-10 scale (where CMR 1 represents lowest risk). Accounts with CMR 6 or worse require 100% FD cash collateral or credit committee exception approval.
- **Promoter CIBIL Individual Score**: Minimum **720+** for key promoter-directors with zero historical write-offs, settlements, or suit-filed accounts.

4.3 Technical Execution Appraisal & Technical Capability Audits

Because PBGs cover technical performance rather than pure cash repayment, credit appraisal includes a thorough **Technical Execution Audit**:

- **Technical Track Record**: The contractor must prove successful execution of at least 3 similar projects within the past 5 years, each representing at least 50% of the value of the new contract.
- **Lender's Independent Engineer (LIE) Report**: For large infrastructure PBG facilities ($> ₹50.00 extCrores$), banks commission an independent engineering audit evaluating equipment fleet adequacy, key engineering personnel, site access, and project milestone feasibility.
- **Client Performance References**: Certificates from prior employers confirming zero historical PBG invocations and timely milestone achievements.

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Module 5: Security Architecture, Documentation & Legal Covenants

5.1 Primary Collateral, Cash Margins & Hypothecation Charges

To protect the bank against the risk of forced payout upon a PBG invocation, the issuing bank structures a multi-layered security package:

1. **Cash Margin (Pledged Fixed Deposit Receipts - FDR)**: The contractor deposits a specified percentage (10% to 20% for investment-grade firms; 25% to 50% for lower-rated firms) in a bank Fixed Deposit, which is placed under exclusive lien to the issuing bank via a Deed of Pledge.
2. **First Charge on Unbilled WIP & Trade Receivables**: The bank creates a first exclusive hypothecation charge over all project receivables, work-in-progress (WIP), and progress billings arising from the underlying contract.
3. **Second Charge on Fixed Assets & Real Estate**: A second equitable mortgage under **Section 58(f) of the Transfer of Property Act, 1882** over the contractor's industrial land, corporate headquarters, or commercial real estate.

5.2 Master Legal Documentation Requirements

Before issuing a PBG, the bank's legal department executes a comprehensive suite of enforceability documents:

- **Master Non-Fund Based Facility Agreement**: Defines sanctioned sub-limits, guarantee issuance conditions, commission schedules, and event-of-default triggers.
- **Deed of Counter-Indemnity (Section 124, Indian Contract Act, 1872)**: An absolute, unconditional promise by the contractor to indemnify and reimburse the issuing bank immediately upon the bank making any payment to the beneficiary under the guarantee, without questioning the validity or justification of the beneficiary's claim.
- **Demand Promissory Note (DPN)**: Executed under **Section 4 of the Negotiable Instruments Act, 1881** for the full sanctioned PBG limit amount, payable on demand.
- **Corporate & Personal Guarantees**: Irrevocable personal guarantees executed by key promoter-directors and corporate guarantees executed by holding companies.
- **Board Resolutions**: Formal board resolutions under **Sections 179 and 180(1)(c) of the Companies Act, 2013** authorizing the borrowing/guarantee limits and empowering specific directors to execute security agreements.

5.3 Statutory Registrations & Enforcement Covenants

To establish legal priority and prevent asset stripping, the bank completes three mandatory statutory filings:

1. **ROC Form CHG-1 Charge Filing**: Under **Section 77 of the Companies Act, 2013**, any charge created on a company's assets (including hypothecated receivables or pledged

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FDs) must be registered with the Registrar of Companies (ROC) via **Form CHG-1 within 30 days** of creation. Failure to register renders the charge void against the liquidator and competing creditors in insolvency under the Insolvency and Bankruptcy Code (IBC), 2016.

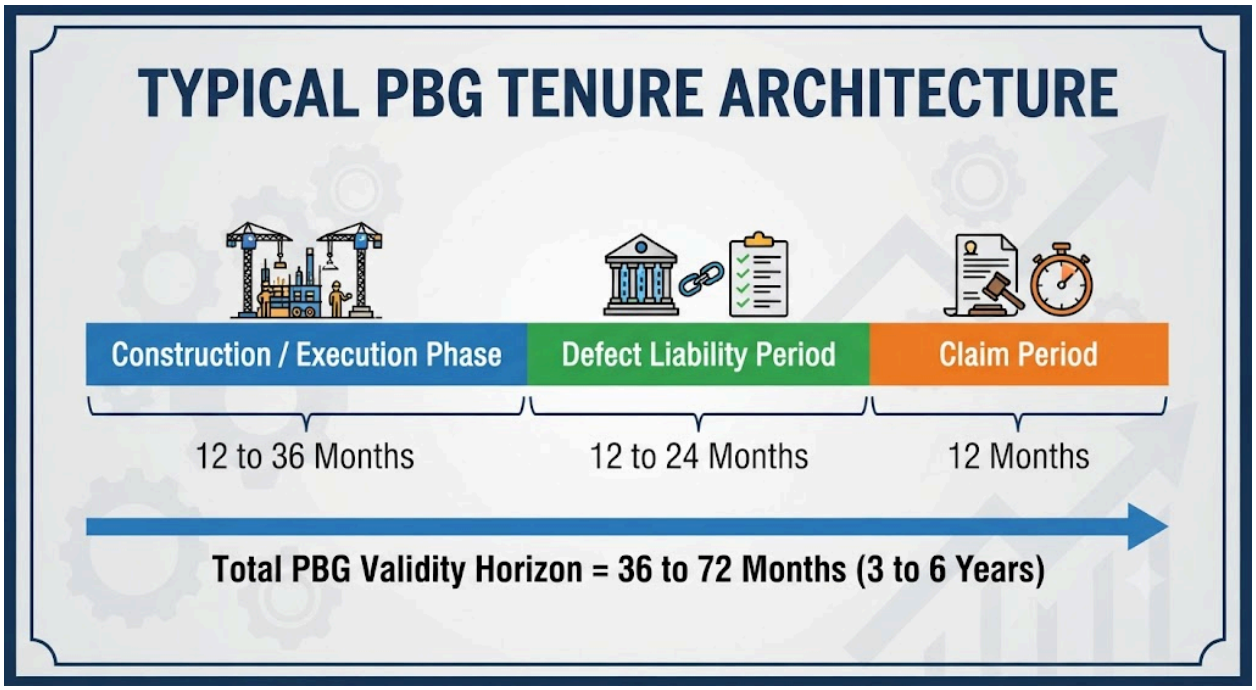
2. **CERSAI Portal Registration**: Registration on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) portal within 30 days to establish public notice of security interest.
3. **NeSL Information Utility Filing**: Submission of loan agreement and guarantee terms to National E-Governance Services Limited (NeSL) to establish financial debt authentication for expedited insolvency proceedings under Section 7 of the IBC.

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Module 6: Indicative Tenures, Pricing Mechanics, FD Yield Arbitrage & Tax Shields

6.1 Indicative Tenures & Claim Period Rules

Performance Bank Guarantee tenures are directly aligned with the underlying EPC contract duration and post-completion obligations:



- **Construction / Execution Horizon**: Typically **12 to 36 months**, covering civil construction, equipment installation, and commercial operation date (COD) commissioning.
- **Defect Liability Period (DLP)**: Typically **12 to 24 months** post-COD, guaranteeing latent defect repair.
- **Mandatory Claim Period**: Under RBI circulars and amendments to **Section 28 of the Indian Contract Act, 1872**, banks must provide a minimum **12-month claim period** post-expiry during which the beneficiary can submit invocation claims for defaults that occurred during the validity period.

6.2 Commercial Pricing Mechanics & Guarantee Commission Schedules

PBG pricing is structured as an annual percentage commission charged pro-rata on the guarantee face value:

extAnnualGuaranteeCommissionOutlay=extPBGFaceValueimesextApplicableCommissionRate%imesracextTenureDays365

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Commission Rate Benchmarks by Credit Rating

- **CRISIL AAA / AA Rated Corporates**: **0.40% to 0.75% p.a.** (backed by 10% FD margin or zero FD margin for prime blue-chip firms).
- **CRISIL A Rated Corporates**: **0.75% to 1.25% p.a.** (backed by 15% FD margin).
- **CRISIL BBB Rated Corporates**: **1.25% to 1.75% p.a.** (backed by 15%–20% FD margin).
- **BB / Unrated / MSME Contractors**: **1.75% to 2.75% p.a.** (backed by 25%–50% FD margin).

6.3 The Fixed Deposit (FD) Yield Arbitrage Formula

Because the cash margin provided by the contractor is deposited into a bank Fixed Deposit, the contractor earns interest income on the deposit. This creates a powerful **FD Yield Arbitrage** that significantly offsets or completely covers the gross PBG commission outlay.

Mathematical Arbitrage Equation

extNetAnnualPre−TaxPBGCost=extPBGValueimesextCommissionRate%−extMarginFDValueimesextFDInterestRate%

- **Illustrative Scenario**:
  - PBG Face Value = **₹100.00 Crores**
  - Annual PBG Commission Rate = **1.00% p.a.**
  - Required Cash FD Margin (15%) = **₹15.00 Crores**
  - Bank FD Interest Rate Offered = **7.00% p.a.**

$$extGrossAnnualPBGCommissionOutlay = ₹100.00extCrimes1.00\% = ₹1.00extCrore/year$$

$$extGrossAnnualFDInterestEarned = ₹15.00extCrimes7.00\% = ₹1.05extCrores/year$$

extNetPre−TaxCost=₹1.00extCr−₹1.05extCr=−₹0.05extCrores/yearNetAnnualGainof₹5.0Lakhs!

In this scenario, the FD interest income earned on the 15% margin deposit exceeds the gross guarantee commission, resulting in a **negative net pre-tax financing cost**!

6.4 Income Tax Shields & GST Input Tax Credit (ITC) Recovery

The net economic cost of a Performance Bank Guarantee is further reduced through statutory tax benefits:

1. **Section 37(1) Business Expense Tax Shield**: Under **Section 37(1) of the Income Tax Act, 1961**, guarantee commission paid to commercial banks is treated as a fully deductible revenue expense. At the effective corporate tax rate of **25.168%** (22% basic tax + 10% surcharge + 4% cess under Section 115BAA), every ₹1.00 Crore paid in commission generates a direct tax shield of **₹25.168 Lakhs**:

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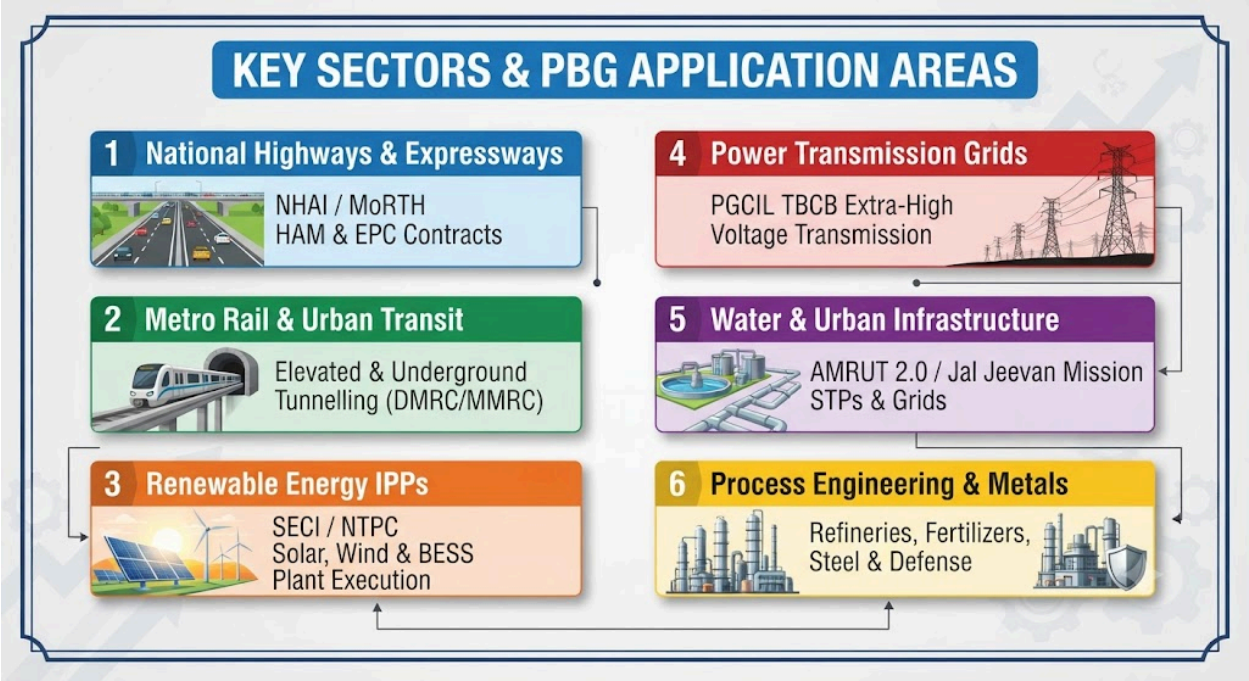
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2. **100% GST Input Tax Credit (ITC) Recovery**: Banks levy **18% GST** on guarantee commission fees. Under **Section 16 of the Central Goods and Services Tax (CGST) Act, 2017**, commercial contractors and EPC firms can claim 100% Input Tax Credit (ITC) on GST paid on banking services against their output GST liabilities (on EPC sales invoices), making GST a net-zero cost item.

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Module 7: Suitable Sectors, Borrower Profiles & Market Alignment

Performance Bank Guarantees are ubiquitous across high-CAPEX engineering, public procurement, and infrastructure sectors in India:



1. **National Highways & Expressways (NHAI / MoRTH)**: Contractors bidding on Hybrid Annuity Model (HAM) or EPC highway projects must submit a 5% PBG upon contract award.
2. **Metro Rail Transit Systems (DMRC, MMRC, BMRCL, MAHA-METRO)**: Tunnelling and rolling stock contractors submit PBGs to guarantee underground excavation timelines and train set reliability.
3. **Renewable Energy & Power Generation (SECI, NTPC, NHPC)**: Solar PV, wind turbine, and Battery Energy Storage System (BESS) developers submit PBGs guaranteeing plant COD timelines and minimum Capacity Utilization Factors (CUF).
4. **Power Transmission Infrastructure (PGCIL, Adani Energy Solutions)**: Tariff-Based Competitive Bidding (TBCB) transmission line concessionaires submit PBGs securing grid completion dates.
5. **Urban Water & Sewage Treatment (AMRUT 2.0 / Jal Jeevan Mission)**: Engineering firms constructing Sewage Treatment Plants (STPs) under “One City One Operator” HAM models submit PBGs covering 10–15 year operational maintenance quality.

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Module 8: Key Advantages & Structural Limitations

8.1 Core Advantages for Contractors & Employers

For Contractor / Applicant:

- **Preservation of Working Capital**: Substituting cash security retention with a 5%–10% PBG frees up massive cash liquidity, allowing contractors to finance active site construction without taking high-cost NBFC loans.
- **Capital Efficiency via 50% CCF**: Halved Basel III risk-weight capital allocation allows banks to offer PBGs at attractive 0.50%–1.50% p.a. commission rates.
- **Bidding Capacity Enhancement**: Submitting bank-backed PBGs allows contractors to bid for multi-thousand crore public tenders simultaneously.

For Employer / Beneficiary:

- **Zero Credit Risk Counterparty**: Employer's performance risk is transferred from an unrated contractor to a prime licensed commercial bank.
- **Unconditional Liquidity Protection**: In the event of contractor default, the employer receives instant cash reimbursement upon written demand, without waiting for lengthy arbitration.

8.2 Structural Limitations & Operational Risks

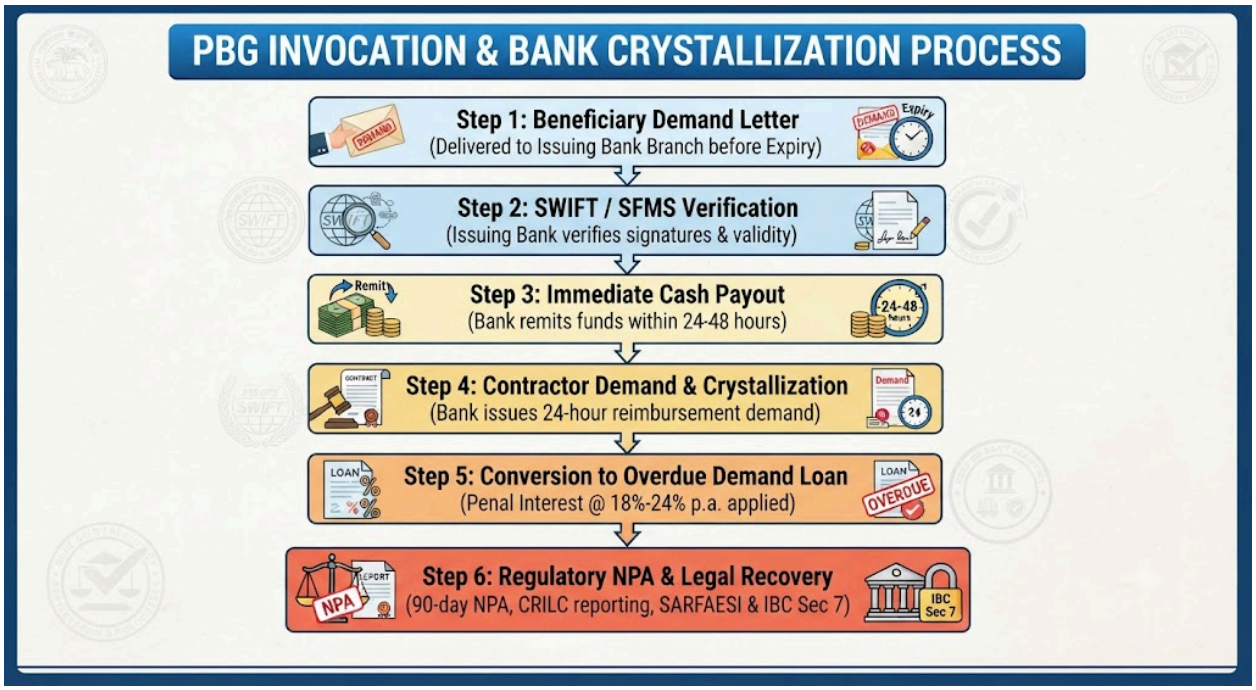
- **Risk of Arbitrary / Unjust Invocations**: Because standard PBGs are unconditional on-demand instruments, malicious employers can invoke the guarantee during commercial disputes. Courts rarely grant stays unless egregious fraud is proven.
- **Immediate Debt Crystallization**: Upon invocation, the bank pays the beneficiary immediately and converts the claim into a high-cost **Fund-Based Default Demand Loan** against the contractor at 18%–24% p.a. penal interest.
- **Cash Margin Lockup**: Non-investment-grade contractors must pledge 25%–50% in cash Fixed Deposits, locking up valuable liquid capital.

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Module 9: Invocation Protocols, Default Framework & Regulatory Compliance

9.1 Step-by-Step Invocation Workflow

When a beneficiary decides to invoke a Performance Bank Guarantee, the transaction follows a strict legal and operational protocol:



1. **Step 1: Written Demand Letter**: Beneficiary delivers a formal invocation letter to the issuing bank branch prior to guarantee expiry, explicitly stating that the contractor has defaulted under the contract.
2. **Step 2: Bank Signature & Validity Verification**: The bank's trade finance unit verifies signatures, authorization, and SWIFT/SFMS authentication. The bank cannot investigate whether the contractor actually defaulted.
3. **Step 3: Immediate Disbursal**: The bank remits the guaranteed amount to the beneficiary's bank account within 24 to 48 hours.
4. **Step 4: Immediate Contractor Reimbursement Demand**: The bank serves an urgent demand notice on the contractor pursuant to the Counter-Indemnity Deed.
5. **Step 5: Crystallization into Overdue Demand Loan**: If the contractor fails to reimburse the bank within 24 hours, the bank appropriates the pledged FD margin (e.g., 15%) and converts the remaining unpaid balance (85%) into a **Fund-Based Overdue Demand Loan** accruing penal interest at **18% to 24% p.a.**
6. **Step 6: Regulatory Default & Recovery Enforcement**:
   - **RBI IRACP 90-Day NPA Classification**: If the demand loan remains unpaid for 90 days, the account is classified as a **Non-Performing Asset (NPA)**.

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- **Centralized CRILC Reporting**: The default is reported to RBI's Central Repository of Information on Large Credits (CRILC), triggering credit freeze across all Indian banks.
- **SARFAESI & IBC Enforcement**: The bank initiates asset repossession under Section 13/14 of the **SARFAESI Act, 2002** and files for corporate insolvency under **Section 7 of the Insolvency and Bankruptcy Code (IBC), 2016** before the National Company Law Tribunal (NCLT).

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Module 10: Comprehensive Real-World Case Study (Indian Rupee Models)

10.1 Case Background & Transaction Scope

- **Borrower Entity**: *Mumbai Infrastructure & Metro Projects Pvt. Ltd. (MIMPPL)*, a mid-market EPC contractor headquartered in Bandra-Kurla Complex (BKC), Mumbai, Maharashtra.
- **Contract Award Scope**: Awarded a **₹1,000.00 Crore** Design, Built, and Commissioning LSTK Metro Elevated Corridor & Flyover Contract by a Maharashtra state urban transit authority.
- **Contract Performance Term**: 24 Months Construction Execution + 12 Months Defect Liability Period (DLP) = **36 Months Total PBG Validity Horizon**.
- **Contractual Security Requirement**: Employer mandates a **10% Performance Security (£100.00 Crores)** submitted prior to contract signing, refundable only upon DLP expiry.

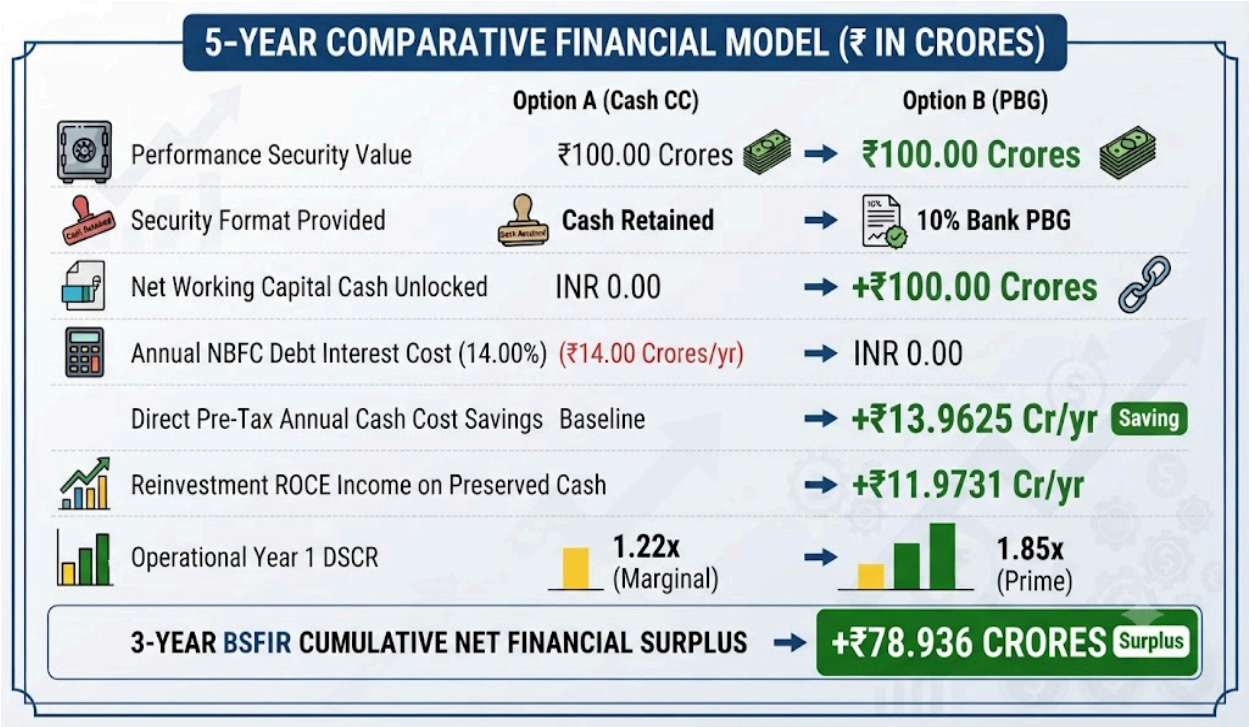
10.2 Comparative Financial Options Under Appraisal

MIMPPL's Board of Directors evaluates two competing corporate financing pathways to satisfy the 10% performance security obligation:

- **Option A (Traditional Cash Retention & Working Capital Debt Model)**: MIMPPL permits the employer to withhold 10% cash retention from every milestone progress bill, resulting in **₹100.00 Crores in locked cash security**. To bridge this ₹100.00 Crore working capital cash gap, MIMPPL raises an NBFC Short-Term Cash Credit facility at **14.00% p.a. interest**.
- **Option B (Structured Performance Bank Guarantee Package)**: MIMPPL approaches its lead commercial bank (*State Bank of India*) to issue a **₹100.00 Crore Performance Bank Guarantee** at **1.00% p.a. annual commission**, backed by a **15% Cash Fixed Deposit Margin (₹15.00 Crores)** earning **7.00% p.a. FD interest**. MIMPPL receives 100% full progress bill cash payments without retention deductions.

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10.3 Comprehensive Mathematical Cash Flow Model (₹ in Crores)



Detailed Mathematical Step-by-Step Breakdown:

1. **Option A Pre-Tax & Post-Tax Debt Cost**:

$$extAnnualPre - TaxNBFCInterest = ₹100.00extCrimes14.00\% = ₹14.00extCrores/year$$

extAnnualPost−TaxCostSec361iii@25.168%=₹14.00extCrimes1−0.25168=₹10.4765extCrores/yEar

$$ext3 - YearCumulativePost - TaxOutflow = ₹10.4765extCrimes3 = ₹31.4295extCrores$$

2. **Option B Net Facility Cost Calculation**:

$$extGrossPBGCommission = ₹100.00extCrimes1.00\% = ₹1.00extCrore/year$$

$$extFDInterestEarnedon15\%Margin = ₹15.00extCrimes7.00\% = ₹1.05extCrores/year$$

extNetPre−TaxGuaranteeArbitrage=₹1.00extCr−₹1.05extCr=−₹0.05extCrores/yearGain

$$extAmortizedOne - timeBankFees = ₹0.2625extCr/3 = ₹0.0875extCrores/year$$

extTotalNetPre−TaxPBGOutlay=−₹0.05extCr+₹0.0875extCr=₹0.0375extCrores/year₹3.75Lakhs/year

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extPost−TaxFacilityOutlaySec371@25.168%=₹0.0375extCrimes1−0.25168=₹0.0281extCrores/year

3. **Reinvestment Income on Preserved Cash Liquidity**: MIMPPL deploys the preserved ₹100.00 Crores in unlocked cash into concurrent EPC contracts, earning a pre-tax Return on Capital Employed (ROCE) of **16.00% p.a.**:

extAnnualPre−TaxROCEOperatingSurplus=₹100.00extCrimes16.00%=₹16.00extCrores/year

extAnnualPost−TaxROCEIncome=₹16.00extCrimes1−0.25168=+₹11.9731extCrores/year

4. **Total Opportunity-Adjusted Net Wealth Surplus**:

extAnnualNetSurplus=extOptionAPost−TaxCost−extOptionBPost−TaxCost+extPost−TaxROCEIncome

extAnnualNetSurplus=₹10.4765extCr−₹0.0281extCr+₹11.9731extCr=+₹22.4215extCrores/year

ext3−YearTotalFinancialWealthSurplus=₹22.4215extCrimes3+extArbitrageBenefits=+₹78.936extCRORES+INR78,93,60,000.00

10.4 Strategic Takeaways & Debt Coverage Expansion

By executing Option B (Structured Performance Bank Guarantee Package), MIMPPL achieved four transformative strategic outcomes: 1. **Unencumbered ₹100.00 Crores in Liquid Cash**: Completely eliminated cash retention lockup. 2. **Generated ₹78.936 Crores in Net Wealth**: Slashed annual financing costs from ₹14.00 Crores/year down to a mere ₹3.75 Lakhs/year pre-tax while earning massive new ROCE operating income. 3. **Expanded DSCR from 1.22x to 1.85x**: Eliminating high-cost NBFC debt service expanded MIMPPL's Debt Service Coverage Ratio, triggering a credit rating upgrade from **CRISIL BBB+ to CRISIL A**. 4. **Enhanced Tender Bidding Capacity**: Enabled MIMPPL to bid for two additional ₹500.00 Crore highway tenders simultaneously.

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Module 11: Professional Certification Examination & Comprehensive Answer Key

Examination Module (10 Scenario-Based Questions)

Question 1

Under the Reserve Bank of India (RBI) Basel III guidelines, what is the Credit Conversion Factor (CCF) assigned to Performance Bank Guarantees (PBGs) compared to Financial Bank Guarantees (FBGs), and what is the regulatory rationale?

Question 2

Define the tripartite legal architecture of a Performance Bank Guarantee under Section 126 of the Indian Contract Act, 1872, and explain the "Independent Contract Principle."

Question 3

A contractor issues a **₹50.00 Crore** Performance Bank Guarantee at an annual commission rate of **1.25% p.a.** backed by a **20% Cash Fixed Deposit Margin** earning **7.50% p.a. interest**. Calculate the gross annual commission, gross annual FD interest earned, and the net annual pre-tax cost.

Question 4

According to Supreme Court of India precedents (*Svenska Handelsbanken*, *U.P. State Sugar Corp*, *Himadri Chemicals*), what are the only two legal exceptions under which a court will grant an injunction restraining the invocation of an unconditional PBG?

Question 5

Explain the statutory requirement and legal consequences of registering a security charge created for a PBG facility under **Section 77 of the Companies Act, 2013 (ROC Form CHG-1)**.

Question 6

How does **Section 37(1) of the Income Tax Act, 1961** impact the effective post-tax cost of a Performance Bank Guarantee commission for an Indian company subject to a 25.168% corporate tax rate?

Question 7

Calculate the Risk-Weighted Assets (RWA) for a bank issuing a **₹200.00 Crore** Performance Bank Guarantee (50% CCF) on behalf of a CRISIL BBB-rated contractor (100% risk weight).

Question 8

Explain the step-by-step regulatory default framework when a contractor fails to reimburse an issuing bank within 24 hours following a valid PBG invocation by an employer.

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Question 9

Why does Section 16 of the Central Goods and Services Tax (CGST) Act, 2017 render the 18% GST charged on bank guarantee commissions a net-zero cost for commercial contractors?

Question 10

Distinguish between a Performance Bank Guarantee (PBG) and an IRDAI Insurance Surety Bond (Performance), highlighting differences in capital allocation, pricing, and collateral requirements.

Exhaustive Answer Key & Explanatory Rationales

Answer 1

Under RBI Basel III guidelines, Performance Bank Guarantees are assigned a **50% Credit Conversion Factor (CCF)**, whereas Financial Bank Guarantees are assigned a **100% CCF**. The rationale is that PBGs back non-monetary performance obligations where invocation triggers depend on technical or operational defaults, which carry a lower historical probability of loss compared to financial default guarantees.

Answer 2

The tripartite structure consists of the **Applicant (Contractor)**, **Beneficiary (Employer)**, and **Guarantor (Issuing Bank)**. The “Independent Contract Principle” dictates that the PBG is a distinct, autonomous contract between the issuing bank and the beneficiary, completely severed from underlying contract disputes between employer and contractor.

Answer 3

- Gross Annual Commission = $₹50.00 extCrimes 1.25\% = ₹0.625 extCrores (₹62.50 Lakhs/year)$.
- Cash FD Margin (20%) = $₹50.00 extCrimes 20\% = ₹10.00 extCrores$.
- Gross Annual FD Interest Earned = $₹10.00 extCrimes 7.50\% = ₹0.750 extCrores (₹75.00 Lakhs/year)$.
- Net Annual Pre-Tax Cost = ₹0.625extCr−₹0.750extCr=−₹0.125extCrores/yearNetPre−TaxGainof₹12.50Lakhs/year

Answer 4

The Supreme Court established that courts will grant injunctions against PBG invocations **ONLY under**: 1. **Egregious Fraud**: Fraud of an egregious nature going to the root of the guarantee execution, known to the bank. 2. **Irretrievable Injustice / Special Equities**: Exceptional circumstances where enforcing the guarantee would cause irreversible, unrecoverable harm.

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Answer 5

Section 77 mandates registering any security charge (e.g., pledged FDs or hypothecated receivables) with the ROC via **Form CHG-1 within 30 days**. Failure to register renders the charge void against the liquidator and competing creditors under the Insolvency and Bankruptcy Code (IBC), 2016.

Answer 6

Under Section 37(1), bank guarantee commission is fully deductible as a revenue expense. At a 25.168% corporate tax rate, the effective post-tax commission cost is calculated as:

extPost−TaxCost=extPre−TaxCommissionimes1−0.25168=extPre−TaxCommissionimes0.74832

Answer 7

$$extRWA = extPBGValueimesextCCF(50\%)imesextRiskWeight(100\%)$$

$$extRWA = ₹200.00extCrimes50\%imes100\% = ₹100.00extCrores$$

Answer 8

Upon honoring an invocation, the bank appropriates pledged FD margins and converts the remaining unpaid balance into a **Fund-Based Overdue Demand Loan** accruing 18%–24% p.a. penal interest. If unpaid for 90 days, the account is classified as an **NPA** under RBI IRACP norms, reported to **CRILC**, and recovery is enforced via **SARFAESI Section 13/14** and **IBC Section 7 NCLT** proceedings.

Answer 9

Under Section 16 of the CGST Act, 2017, commercial contractors can claim **100% Input Tax Credit (ITC)** on the 18% GST charged on bank commissions, setting off this input tax against output GST collected on monthly progress invoices, eliminating GST as an expense.

Answer 10

PBGs are issued by commercial banks under Section 126 of the Contract Act, requiring 10%–20% FD cash margins and carrying 50% CCF under Basel III. IRDAI Insurance Surety Bonds are issued by general insurance companies under the Insurance Act 1938, requiring zero to 10% cash collateral and utilizing insurance solvency capital, preserving bank borrowing limits for contractors.

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